



Embecta Corp.

Credit Review – May 2026

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— Opportunity Overview

Embecta Corp. makes diabetes care products that help administer insulin

- Embecta estimates its products are used by ~30 million people in over 100 countries
- ~2k employees worldwide (~500 commercially focused employees) with 3 manufacturing sites in 3 countries
- Generated ~\$1.04B of revenue and ~\$383M of Adj. EBITDA in LTM period (36.7% margin)

Background

- Embecta was founded as part of Becton Dickinson and spun off in April 2022 to allow both companies to strengthen growth profiles

Investable Opportunity (as of May 8, 2026)

- \$641.8M of S + 300bps Term Loan B due 2029, rated B+/B1 – Trading at \$84.45, 13.23% YTW
- \$500M of 5% First Lien Secured Notes due 2030, rated B+/B1 – Trading at \$78.75, 12.19% YTW
- \$200M of 6.75% First Lien Secured Notes due 2030, rated B+/B1 – Trading at \$80.25, 13.61% YTW

Investment Summary & Recommendation

Credit Profile

- Scaled insulin consumables franchise (~50% share in core pen needle markets)
- Recurring, reimbursed revenue base with ~37% LTM EBITDA margin, compressed to 29% in Q2 FY26
- Consistent FCF generation (~\$200M LTM) with low capital intensity
- BUT: Secular category decline accelerating; Q2 results indicate compression beyond original underwriting; GLP-1 headwind active

Capital Structure

- 3.1x net leverage LTM stepping up to ~4.0x net 2026E
- FY26 central case EBITDA ~\$300M vs \$382.6M LTM (-22%), with net 1L leverage stepping to 4.0x (4.5x gross) and the deleveraging trajectory inverted
- Pre-close liquidity \$684.9M total; the Owen Mumford draw collapses revolver availability, leaving ~\$185M cash post-close
- Recovery is asymmetric at ~88% avg undrawn vs ~58% fully drawn, with the market pricing the drawn case

Recommendation: PASS

- Durable consumables franchise but category in secular decline accelerating beyond original underwriting; GLP-1 headwind active
- Owen Mumford close (FY26 Q3, RCF-financed) proceeds into deterioration; revolver draw activates springing 4.75x maintenance covenant
- Customer concentration (42% with three wholesalers) compounds secular risk in declining category
- Spread has widened materially; current pricing reflects credit stress rather than rating-adjusted inadequacy
- At current note prices ~79-80, market pricing roughly in line with drawn recovery case at central FY26E EBITDA; limited margin of safety

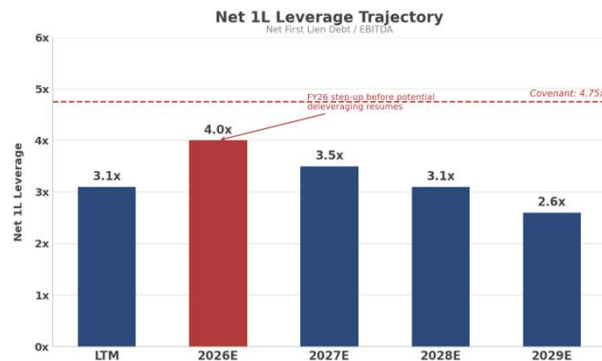
Credit Thesis (Continued)

1. Secular Category Decline + GLP-1 Compression

- Pen needle volumes in developed markets have declined four consecutive years, with Q2 compression accelerating beyond original underwriting and mix/geography offsets approaching natural ceilings
- GLP-1 delays Type 2 insulin initiation over a 5–10-year horizon, with pen tip participation at lower margin and volume than core insulin consumables
- May 5 guidance reset implies FY26 EBITDA ~\$300M vs. \$415M FY25 and ~\$383M LTM, with 2H'26 margins tracking worse than Q2 actual

2. Capital Allocation Pivot (Owen Mumford Acquisition)

- March 2026 acquisition (\$134M upfront, up to \$200M with Aidaptus earnout) was RCF-financed, activating the springing 4.75x net 1L covenant at materially compressed headroom
- Revolver draw rather than cash signals limited flexibility ahead of the 2029 refinancing
- FY27 dilutive to adjusted net income, flattening FCF for debt reduction as the acquisition proceeds into the deterioration
- Draw reduces the undrawn revolver cushion and exposes 1L to meaningful impairment at 5.0x in the central FY26E EBITDA case



Credit Thesis (Continued)

3. Customer Concentration Compounds the Secular Story

- McKesson, Cardinal, Cencora at 42% of revenue
- In a declining volume category, wholesaler pricing leverage increases
- Embecta is price-taker to three customers consolidating margin pressure onto suppliers

4. Spread Inadequacy Reinforces the Call

- TLB and secured notes have widened materially, with spreads now reflecting credit stress rather than rating-adjusted inadequacy
- Current pricing reflects a realistic distress recovery scenario with limited margin of safety rather than a clear asymmetric entry point

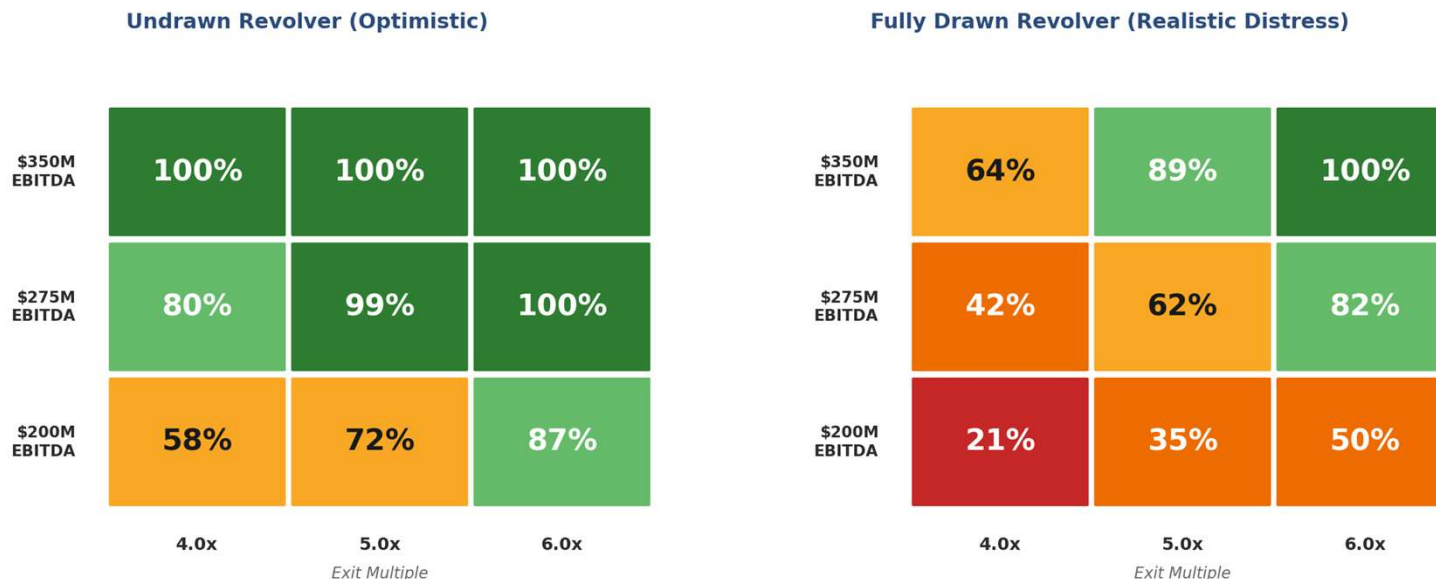
5. Recovery Analysis Does Not Anchor the Thesis

- Dual-scenario recovery framework shows 88% average 1L recovery in undrawn scenario versus 58% in fully drawn revolver scenario
- At FY26E EBITDA guide (~\$300M) at 5.0x multiple, drawn scenario recovery is approximately 71%
- Owen Mumford revolver draw collapses the undrawn scenario as the forward-looking recovery floor and materially weakens 1L downside protection

Key Takeaway: Embecta remains a cash-generative but operationally challenged B1 credit, and current pricing does not provide sufficient margin of safety relative to the combination of secular category decline, capital allocation deterioration, customer concentration, and weaker forward recovery protection

Recovery & Fulcrum Analysis

1L Recovery % — Dual-Scenario Stress Grid



Admin/restructuring costs: 3% of EV | 1L face: 1,341.8M | Drawn scenario assumes 500M full revolver draw

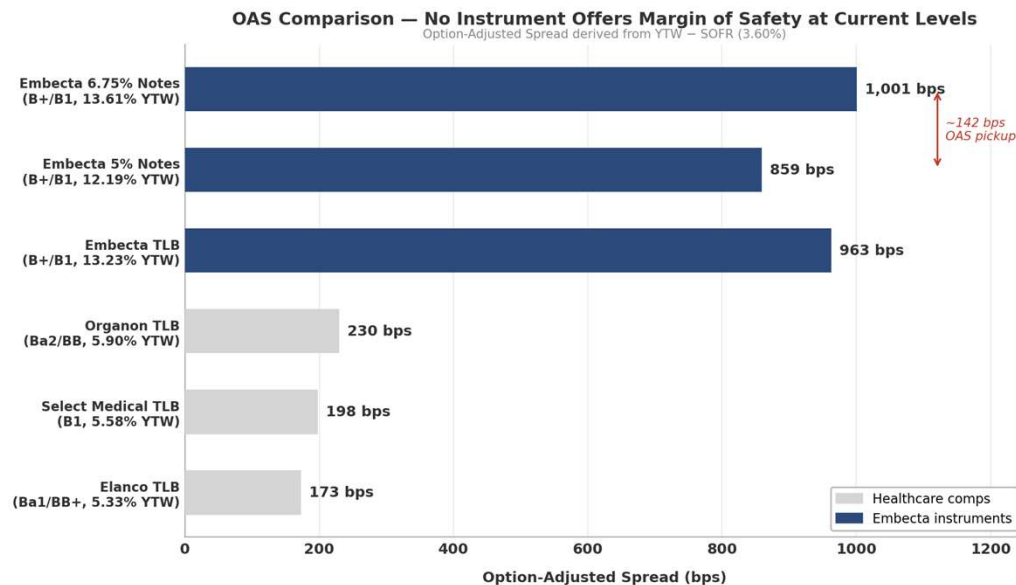
■ ≥ 90% (par recovery) ■ 75-89% (minor impairment) ■ 55-74% (moderate impairment) ■ 35-54% (material impairment) ■ < 35% (severe impairment)

Key Insight: Recovery is highly scenario-dependent. The 30-point gap between undrawn (88%) and drawn (58%) average recovery highlights how revolver utilization materially changes downside outcomes. Current pricing reflects stressed recovery assumptions, leaving limited margin of safety if the drawn scenario becomes the realized path.

— Capital Structure Relative Value

Capital Structure OAS Comparison

- Same issuer, same collateral, same maturity: the 6.75% Notes (YTW 13.61%, price 80.25%) offer ~142bps pickup over pari passu 5.0% Notes (YTW 12.19%, price 78.75%)
- Spreads have blown out from rating-inadequate to distress-level, with the stack no longer cheap relative to the rating but instead pricing realized impairment
- Return profile is recovery-driven rather than carry-driven at current prices, with limited upside absent operational stabilization
- Size constraint: \$200M outstanding on the 6.75% Notes precludes institutional-scale position building in the best relative-value instrument



Business Description & Overview

Pen needles are the main offering

- Additional product offering includes syringes and safety injection devices

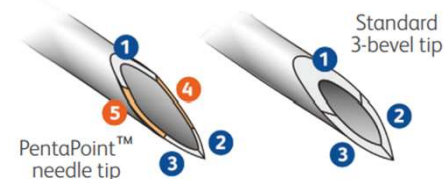
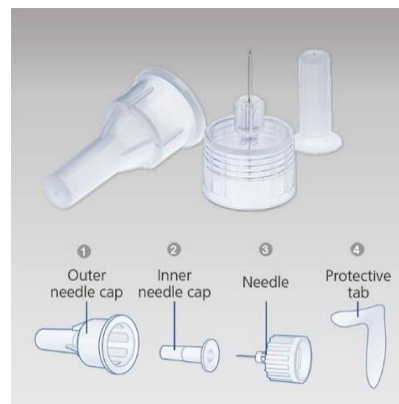
Embecta produces around 8 billion units annually across 3 main facilities

- Cannulas are supplied through an agreement; mixture of 3-Bevel and 5-Bevel needles
- Other key supplies include plastic resin, needle lubricants, adhesives, rubber stoppers, and packaging

Market Share Leader

- #1 market share (~50%) in any given market it participates in

	Dún Laoghaire, Ireland	Suzhou, China	Holdrege, USA
			
	World's largest manufacturer of pen needles	Global pen needle production	World's largest manufacturer of insulin syringes
Experienced manufacturing	Established in 1969 ~270,000 sq. ft.	Established in 2015 ~240,000 sq. ft.	Established in 1966 ~278,000 sq. ft.
High capacity	>40 injection molding machines >20 assembly lines	>10 injection molding machines >5 assembly lines	>60 injection molding machines >10 assembly lines
Products manufactured	 Pen needles and Safety pen needles	 Pen needles	 Syringes, safety syringes and alcohol swabs
Owned vs. leased	Owned Ability to expand footprint	Owned Ability to expand footprint	Leased Ability to expand footprint



Business Description & Overview (Continued)

Channel Structure

- Products are sold primarily to large pharmaceutical wholesalers and distributors, who supply retail and institutional pharmacy channels
- McKesson, Cardinal Health, AmerisourceBergen (Cencora) = 42% of sales
- 5 largest pharmacies = 14% of sales

Pricing & Access Drivers

- Revenue reflects contracted pricing arrangements and customary gross-to-net deductions
- US utilization is influenced by payer formulary placement and reimbursement conditions
- Access is supported by competitive pricing, product quality, and demonstrated reliability of supply

International Markets

- Outside the US, reimbursement dynamics vary by geography
- In certain markets, limited reimbursement availability increases exposure to government tender systems and patient out-of-pocket spending

Strategic Development

- Pending ~\$190M (£150M) acquisition of Owen Mumford (announced March 2026, closing FY26 Q3, RCF-financed) extends franchise into adjacent drug-delivery platforms via Aidaptus auto-injector

Investment Conclusion

- Scaled, cash-generative diabetes consumables franchise; category in secular decline with GLP-1 compression over 5–10+ year horizon
- FY26 guide (~\$300M EBITDA vs ~\$383M LTM and \$415M FY25) is management's first formal acknowledgment of the compression
- March 2026 Owen Mumford acquisition (\$134M upfront, up to \$200M total, RCF-financed) marks capital allocation pivot away from pure deleveraging ahead of 2029 refinancing
- Customer concentration (42% with 3 wholesalers) structurally compounds secular decline
- Recovery asymmetric: 88% avg undrawn vs 58% drawn; revolver draw collapses undrawn scenario as forward-looking recovery floor
- Current pricing reflects realistic distress recovery outcomes with limited margin of safety at current spreads
- Upgrade trigger: materially wider entry levels, Owen Mumford restructuring or withdrawal, announced cost actions, or FY26 Q3 stabilization print

Recommendation: PASS

Appendix

Diabetes Market Overview

589M

Adults living with diabetes globally (1 in 9) – 2024

853M

Projected by 2050 (+45% increase)

\$1.0T

Global health expenditure (+338% over 17 years)

United States

38.5M people with diabetes (age 20 -79)

- 28.9M diagnosed, 9.6M undiagnosed
- \$404.5B health expenditure in 2024 in adults (age 20 – 79)



Type 2 accounts for **~98%** of all cases



252M undiagnosed globally (age 20 - 79)

Global Diabetes by IDF Region (2024)

IDF Region	2024	2050	Growth
Western Pacific	215.4M	253.8M	+18%
South-East Asia	106.9M	184.5M	+73%
Europe	65.6M	72.4M	+10%
N. America & Caribbean	56.2M	68.1M	+21%
Middle East & N. Africa	84.7M	162.6M	+92%
South & Central America	35.4M	51.5M	+45%
Africa	24.6M	59.5M	+142%

Insulin Delivery Devices Market

- Global market valued at **~\$23B (2024)**, projected to reach **~\$53B+ by 2034** (CAGR ~8–10%)
- Insulin pens hold ~42% share, pumps ~17%, syringes ~22% | North America holds ~40% of global market share

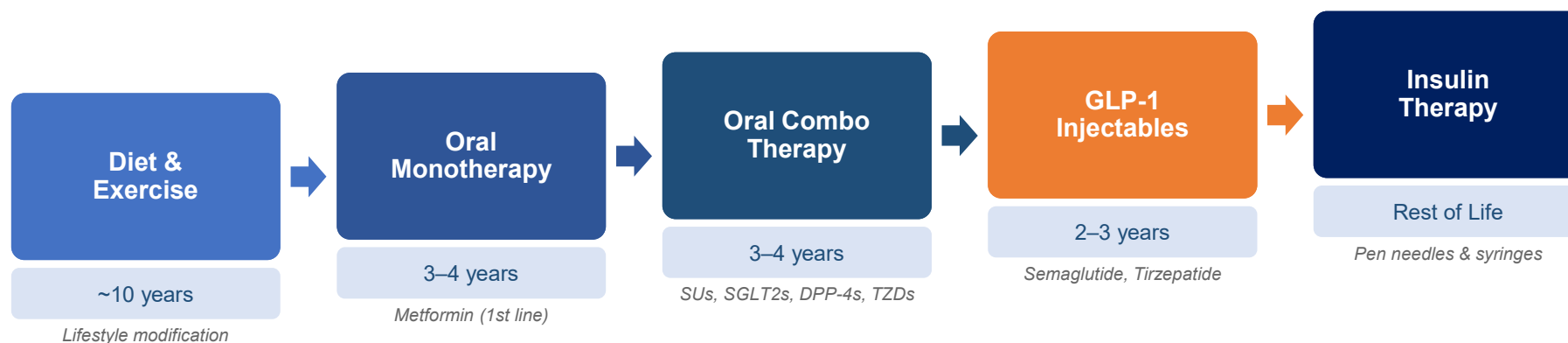
T2 Diabetes Treatment Progression

Essential, Recurring Healthcare End Market

- Type 2 diabetes is a chronic, progressive condition, and as the disease advances, many patients ultimately require insulin therapy as part of long-term management
- Over 580M adults globally live with Type 2 diabetes (~90–95% of cases), with prevalence continuing to rise, expanding the treated patient population each year
- Pen needles and syringes are high-frequency medical consumables supporting daily therapy adherence, benefiting from stable demand and broad global accessibility

Durable Demand Supported by Treatment Progression

- Diabetes care typically evolves through a multi-stage treatment pathway, resulting in sustained utilization of delivery devices over long patient lifecycles
- New therapies such as GLP-1s may delay insulin initiation for some patients but generally complement, rather than replace, injection-based treatment over time
- Embecta participates across this continuum, including supplying pen needles compatible with GLP-1 therapies



Key Insight: Progressive nature of T2D ensures durable, long-duration demand for insulin delivery devices — Embecta’s pen needles and syringes serve patients across the entire insulin-dependent phase

— Insulin Delivery Methods

Syringe

- ~15–20% of global insulin-treated population
- Higher usage in emerging markets
- Primarily cost-driven adoption
- Minority method in developed healthcare systems

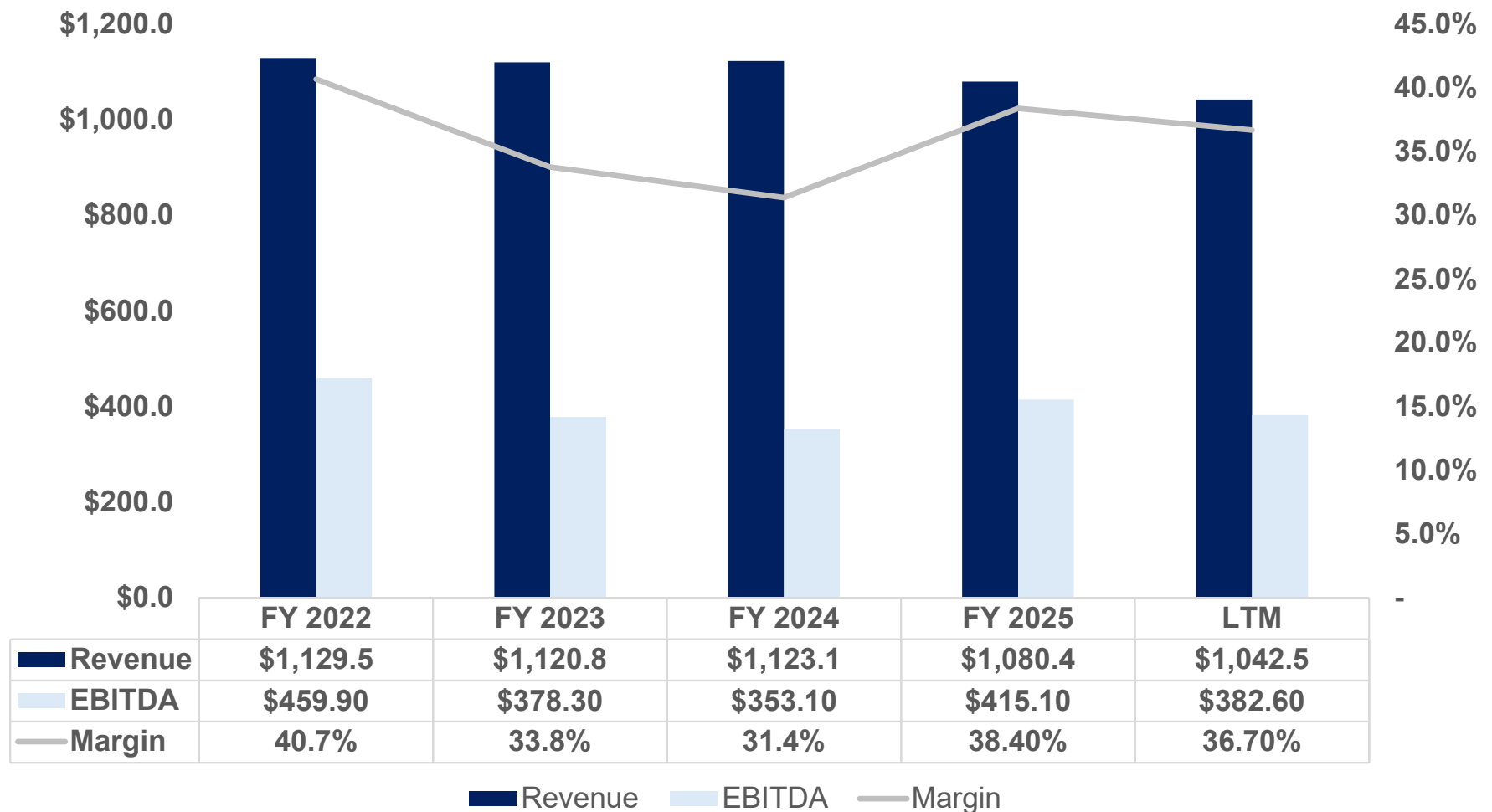
Pen

- Majority of global insulin-treated population (~65–70%)
- Standard of care in developed markets
- Widely used among insulin-treated Type 2 patients
- Common alternative for Type 1 patients not using pumps

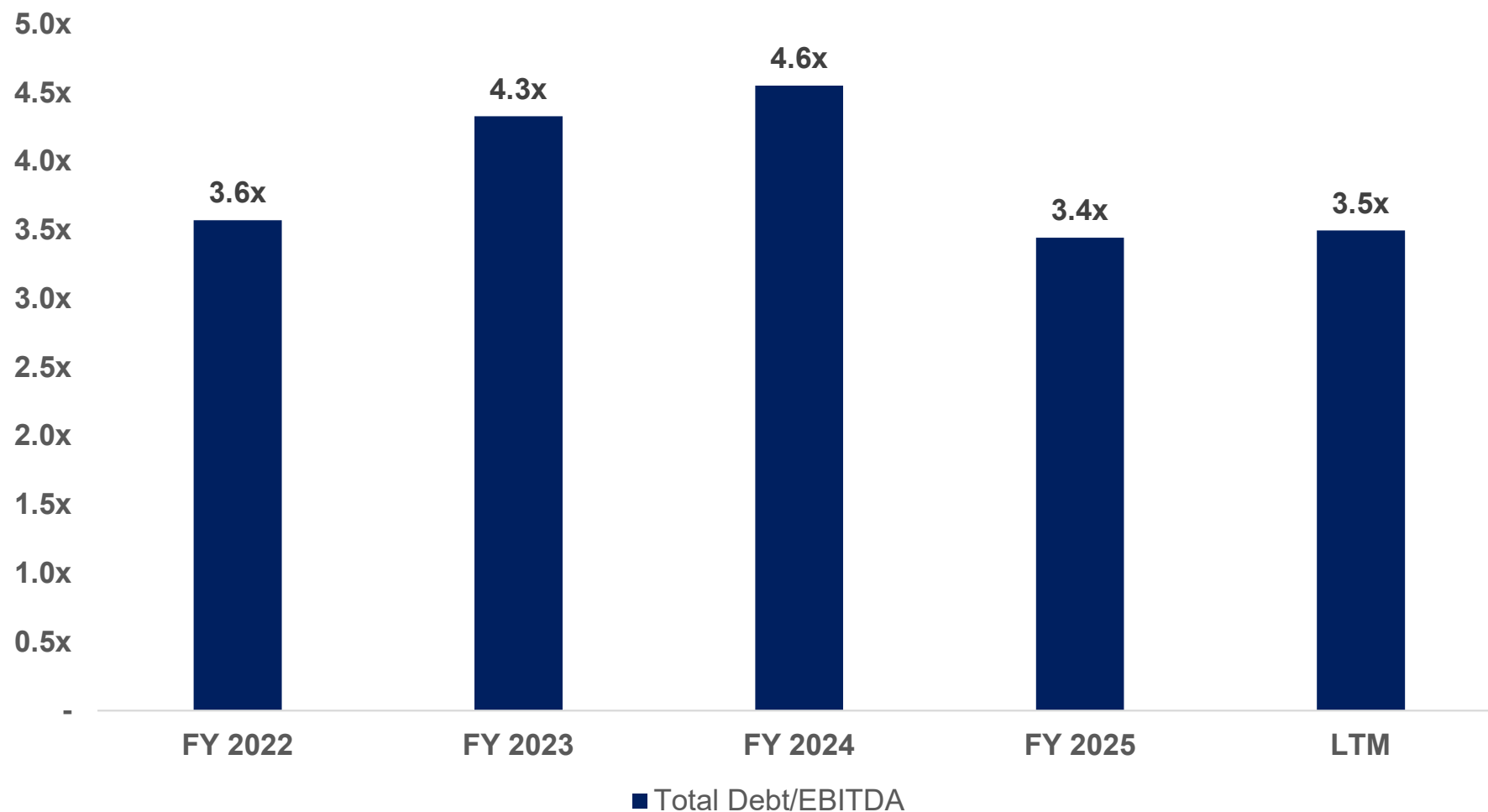
Pump

- ~1–2M users globally
- Predominantly Type 1 patients
- Meaningful penetration among U.S. Type 1 patients (~30%+)
- Low single-digit % of total global insulin users

— Operating Performance



— Total Leverage



Competitive Landscape

Novo Nordisk

- Global pharmaceutical company with integrated diabetes care franchise spanning insulin and GLP-1 therapies
- Pen needles and injection devices used to support proprietary insulin portfolio (e.g., Tresiba) and GLP-1 products (e.g., Ozempic)
- Primarily a pharmaceutical company and injection devices support broader drug franchise rather than representing a standalone device focus



B. Braun

- Diversified German medtech company operating in hospital and home-care markets globally
- Omnican Fine and Omnican Fine Plus branded pen needles utilize multi-facet grinding tips and thin-wall technology
- Broad product portfolio across infusion therapy, surgery, and diabetes care



Terumo Medical Corporation

- Japanese medtech company with operations across vascular, cardiac, and injection devices
- FineGlide pen needle launched in 2022 featuring thin-wall and multi-bevel design
- Vertically integrated supply chain across medical consumables
- More diversified device portfolio relative to pure-play pen needle manufacturers



HTL-Strefa / MTD Group

- European-based diabetes consumables manufacturer
- Produces lancets and pen needles from European facilities
- Acquired Ypsomed's pen needle business in 2024, expanding global footprint
- Competes across pharmacy, retail, and value-oriented segments in North America and Europe



Competitive Landscape (Pricing)

Tip Size	Embecta (BD) Price	Embecta Gauge	Novo Nordisk Price	Novo Gauge	HTL-Strefa (Droplet) Price	Droplet Gauge	MTD (mylife) Price	MTD (mylife) Gauge	Terumo (Nanopass) Price	Terumo Gauge
3.5mm	–	–	–	–	\$30	34G	\$40–45	32G	–	–
4mm	\$30–35	32G	\$40–55	32G	\$10–25	32G	\$40–45	32G	\$35–70	32.5G–34G
5mm	\$25–30	31G	–	–	\$10–15	31G–32G	\$25–45	31G	–	–
6mm	\$80–95	32G	\$80–90	32G	\$10–15	31G–32G	\$25–35	32G	\$50	32.5G
8mm	\$70–75	31G	\$35–50*	30G	\$10–25	31G–32G	\$20–45	31G	\$50	32.5G
10mm	–	–	–	–	\$10–15	29G	–	–	–	–
12mm+	\$25–30	29G	–	–	\$10–15	29G	–	–	–	–